

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 HOUSE BILL 4331

By: Moore of the House

5 and

6 **Rader** of the Senate

7
8
9 AS INTRODUCED

10 An Act relating to retirement; amending 70 O.S. 2021,
11 Sections 17-103, as amended by Section 2, Chapter
12 300, O.S.L. 2024, 17-105.2, 17-108.2, and 17-116.2
13 (70 O.S. Supp. 2025, Section 17-103), which relate to
14 the Teachers' Retirement System of Oklahoma;
15 modifying dates; providing that an individual elected
16 to certain position shall be a member of the System
17 in certain circumstances; modifying provisions
18 related to partial lump sum payments; providing that
19 a certified athletic trainer shall be credited
20 certain amount based on teaching experience;
21 modifying provisions related to election or
22 appointment; and providing an effective date.

23
24 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 70 O.S. 2021, Section 17-103, as
amended by Section 2, Chapter 300, O.S.L. 2024 (70 O.S. Supp. 2025,
Section 17-103), is amended to read as follows:

1 Section 17-103. Except as provided in the Alternate Retirement
2 Plan for Comprehensive Universities Act, the membership of the
3 retirement system shall consist of the following:

4 A. All classified personnel shall become members of the
5 retirement system as a condition of their employment.

6 B. For the period from August 2, 1969, to June 30, 2021, all
7 full-time nonclassified optional personnel regularly employed for
8 more than one (1) year may join the Teachers' Retirement System of
9 Oklahoma subject to the rules and regulations adopted pursuant to
10 the Teachers' Retirement System of Oklahoma. On or after July 1,
11 2021, all nonclassified optional personnel regularly employed for
12 twenty (20) hours or more per week may join the System upon hiring
13 or eligibility, subject to the provisions of subsection C of this
14 section and the rules and regulations adopted by the System pursuant
15 to Section 17-101 et seq. of this title.

16 C. 1. Nonclassified optional personnel shall have thirty (30)
17 days from the initial date of hire or eligibility to make a one-time
18 irrevocable election to opt out of participation in the System, in a
19 manner required by the Board of Trustees. If an eligible employee
20 fails to make an election within the thirty-day period, the eligible
21 employee shall be deemed to participate in the System.

22 2. If an eligible employee elects to opt out of participation
23 in the System, the employee shall not make any required employee
24

1 contributions to the System and the employee's employer shall not
2 make any required employer contributions to the System.

3 3. If an eligible nonclassified optional employee does not
4 timely opt out of participation in the System, such an employee
5 shall make employee contributions to the System pursuant to Section
6 17-116.2 of this title and the employer shall make employer
7 contributions to the System pursuant to Section 17-108.1 of this
8 title. Nothing in this subsection shall be construed to prohibit
9 the employer from making the contribution of the employee to the
10 System on behalf of the employee.

11 4. Nonclassified optional personnel who opt out of
12 participation in the System shall be ineligible for future
13 participation in the System; provided, however, that if such an
14 employee is hired for a classified position, he or she shall become
15 a member of the System pursuant to subsection A of this section but
16 shall not be eligible for prior service credit for service performed
17 while employed in a nonclassified position during which the employee
18 opted out of participation in the System.

19 D. The Board of Trustees may, in its discretion, deny the right
20 to become members to any class of members whose compensation is only
21 partly paid by the state, or who is serving on a temporary or other
22 than per annum basis, and it also may, in its discretion, make the
23 individual entrance into the retirement system for members in any
24 such class optional.

1 E. Should any non-vested member, in any period of six (6)
2 consecutive years after becoming a member, be absent from service
3 more than five (5) years, withdraw his or her contributions, ~~retire~~
4 or die, he or she shall thereupon cease to be a member. The
5 provisions of this subsection shall not apply to any member of the
6 Teachers' Retirement System of Oklahoma who has been a member of
7 such classes of military services as may be approved by the Board of
8 Trustees, until a period of one and one-half (1 1/2) years from date
9 of termination of such service shall have elapsed.

10 F. Effective November 1, ~~2019~~ 2026, a retired member of the
11 Teachers' Retirement System of Oklahoma who becomes employed by the
12 State Department of Education for the first time on or after
13 November 1, ~~2019~~ 2026, shall ~~have the option to remain a member of~~
14 ~~the Teachers' Retirement System of Oklahoma subject to any~~
15 ~~applicable limitations placed on retired members returning to work~~
16 ~~or may choose to~~ participate as an active member in the Oklahoma
17 Public Employees Retirement System defined benefit plan or the
18 Oklahoma Public Employees Retirement System defined contribution
19 system, whichever is applicable under the laws and rules governing
20 those systems.

21 G. Notwithstanding the foregoing subsection F of this section
22 or the requirements of paragraphs 8 and 9 of subsection A of Section
23 913.4 of Title 74 of the Oklahoma Statutes, if the individual
24 elected to State Superintendent of Public Instruction has any

1 previous membership in the Teachers' Retirement System of Oklahoma,
2 the State Superintendent of Public Instruction shall be a member of
3 the Teachers' Retirement System of Oklahoma pursuant to the
4 governing laws and rules of the Teachers' Retirement System of
5 Oklahoma.

6 SECTION 2. AMENDATORY 70 O.S. 2021, Section 17-105.2, is
7 amended to read as follows:

8 Section 17-105.2. A. A member who is eligible to retire on or
9 after normal retirement age with at least thirty (30) years of
10 creditable service may elect to receive a partial lump-sum payment
11 on the date of retirement and a reduced annuity. The partial lump-
12 sum payment shall be an amount equal to the unreduced retirement
13 benefit, ~~which shall be referred to as the "Maximum Retirement~~
14 ~~Allowance" for purposes of this section,~~ which would have been paid
15 over a period of twelve (12), twenty-four (24), or thirty-six (36)
16 months, had the lump-sum option not been elected. Once the payout
17 amount is elected, ~~a~~ the reduced ~~Maximum Retirement Allowance~~
18 annuity is then calculated using factors adopted by the Board of
19 Trustees based upon the System's actuarial expected rate of return
20 and the member's age at retirement and the payout option (twelve
21 (12), twenty-four (24), or thirty-six (36) months) elected. This
22 reduced ~~Maximum Retirement Allowance~~ annuity shall also be reduced
23 in accordance with any retirement options the member has elected

1 pursuant to Section 17-105 of ~~Title 70 of the Oklahoma Statutes~~ this
2 title.

3 B. The partial lump-sum payment, authorized pursuant to this
4 section, shall be ~~paid in a check separate~~ issued separately from
5 the regular monthly retirement benefit. The total amount of the
6 partial lump-sum payment shall be deducted from the member's account
7 balance consisting of the employee contributions plus interest
8 earned prior to July 1, 1968, for purposes of determining unused
9 contributions remaining in the account. The member may elect to
10 rollover the taxable portion of the partial lump-sum payment to an
11 eligible retirement plan or individual retirement account (IRA).
12 The nontaxable portion of the partial lump-sum payment can be rolled
13 over to an IRA or another qualified retirement plan as allowed by
14 the Internal Revenue Code and regulations. This partial lump-sum
15 payment shall be subject to federal income tax in accordance with
16 the Internal Revenue Code Section 72 and other such Internal Revenue
17 Code sections and regulations as may be applicable. This partial
18 lump-sum benefit is subject to the same restrictions for assignment
19 and attachment as all other retirement benefits. The appropriate
20 portion of the partial lump-sum distribution will be reported to the
21 Internal Revenue Service (IRS) as taxable income and appropriate tax
22 withholdings will be withheld unless the member elects to make a
23 direct rollover of the taxable portion of the funds. Should the
24 member have after-tax contributions, a portion of such after-tax

contributions will be allocated to the partial lump-sum payment and to the remaining annuity on a prorata basis.

C. The partial lump-sum option under this section may be elected only once by a member and may not be elected by a retiree.

D. The board of trustees shall promulgate any rules necessary for the implementation of this section.

SECTION 3. AMENDATORY 70 O.S. 2021, Section 17-108.2, is amended to read as follows:

Section 17-108.2. A. Beginning July 1, 2019, and for each plan year thereafter, a person employed by any school district or employed by a technology center school district, who holds a valid certificate issued by the State Department of Education or the State Board of Career and Technology Education, and is employed on a full-time basis to serve as a teacher, principal, supervisor, administrator, superintendent, counselor, librarian ~~or~~, certified or registered nurse, or as a certified athletic trainer pursuant to Section 1-116 of this title shall have credited against the employee contribution amount, an annual amount based upon qualifying years of ~~service~~ teaching experience as follows:

YEARS OF SERVICE <u>EXPERIENCE</u>	CREDIT AMOUNT
0	\$60.15
1	\$103.41
2	\$145.65
3	\$188.15

1	4	\$233.33
2	5	\$278.76
3	6	\$325.26
4	7	\$372.82
5	8	\$421.44
6	9	\$471.12
7	10	\$521.87
8	11	\$573.67
9	12	\$626.54
10	13	\$680.48
11	14	\$735.47
12	15	\$791.53
13	16	\$848.65
14	17	\$906.83
15	18	\$966.07
16	19	\$1,026.38
17	20	\$1,087.75
18	21	\$1,150.18
19	22	\$1,213.68
20	23	\$1,278.23
21	24	\$1,343.85
22	25 or more	\$1,410.53

23 B. The state shall pick up for tax purposes and pay the annual
24 amount prescribed by subsection A of this section, based upon the

1 conditions prescribed by subsection A of this section, to the
2 Teachers' Retirement System. The annual amount prescribed by
3 subsection A of this section shall be divided into monthly amounts
4 as may be required in order to give full effect to the credit amount
5 without the necessity of dividing the annual credit amount into
6 twelve (12) equal installments.

7 C. If an eligible member under this section terminates service
8 prior to June 30 of any applicable plan year, the amounts prescribed
9 by subsection A of this section, and transferred to the Teachers'
10 Retirement System from the State Board of Education and the State
11 Board of Career and Technology Education shall be retained by the
12 Teachers' Retirement System of Oklahoma and treated as an actuarial
13 gain of the System.

14 D. If an employing school district has contractually committed
15 to make payment of the employee contributions required by Section
16 17-116.2 of this title for a member who is eligible for the credit
17 amount prescribed by subsection A of this section for the fiscal
18 year, using funds available to the district and not by effecting the
19 employee contribution through a deduction from the member's gross
20 salary, the district shall pay additional compensation to each of
21 its eligible teachers in an amount equal to the amount prescribed by
22 subsection A of this section based upon the number of years of
23 teaching experience of the eligible member.

1 E. If an eligible member is hired by a school district or a
2 technology center school district and receives compensation for less
3 than one hundred eighty (180) days of service, the district shall
4 determine a pro rata amount of the annual credit amount and shall
5 pay additional compensation to the member equal to the pro rata
6 amount for each month during which the member is employed. The
7 monthly credit amount for such member shall be added to the member's
8 compensation beginning with the first full month during which the
9 member is employed by the district.

10 F. The amount required to be added to the compensation of the
11 eligible member pursuant to subsection D of this section shall be
12 subject to any applicable federal or state taxes upon the additional
13 income.

14 G. The amount required to be added to the compensation of the
15 eligible member pursuant to subsection D of this section shall not
16 be treated as regular annual compensation for purposes of Section
17 17-116.2 of this title or as salary or fringe benefits for purposes
18 of determining any applicable statutory minimum salary requirements
19 or for purposes of meeting the requirements of any locally adopted
20 salary schedule.

21 H. The employing district shall prepare its payroll records to
22 reflect that the total employee contribution amount, for the salary
23 not in excess of the applicable minimum salary amount, has been paid
24 pursuant to a combination of the payment from the funds of the

1 employing district and the amount credited to the employee
2 contribution account of the member pursuant to subsection A of this
3 section.

4 I. If an employing school district has contractually committed
5 to deduct employee contributions required by Section 17-116.2 of
6 this title by effecting the employee contribution through a
7 deduction from the member's gross salary, the district shall
8 decrease the amount of the payroll deduction for such employee
9 contribution by the amount as prescribed in subsection A of this
10 section, based upon the number of years of teaching experience of
11 the member. The amount required to be subtracted from the amount by
12 which the employee's gross salary would otherwise be reduced
13 pursuant to this subsection shall be subject to any applicable
14 federal or state taxes. The employing district shall prepare its
15 payroll records to reflect that the total employee contribution
16 amount, for the salary not in excess of the applicable minimum
17 salary amount, has been paid pursuant to a combination of the
18 deduction from the member's salary and the amount credited to the
19 employee contribution account of the member pursuant to subsection A
20 of this section.

21 SECTION 4. AMENDATORY 70 O.S. 2021, Section 17-116.2, is
22 amended to read as follows:

23 Section 17-116.2. A. 1. Beginning July 1, 1987, and prior to
24 July 1, 1995, a member who retires on or after the member's normal

1 retirement age or whose retirement is because of disability shall
2 receive an annual allowance for life, payable monthly, in an amount
3 equal to two percent (2%) of the member's highest three-year average
4 salary upon which member contributions were made, multiplied by the
5 number of the member's years of creditable service.

6 A classified member who retired prior to July 1, 1986, shall
7 have the member's retirement allowance calculated on a minimum
8 average salary of Eleven Thousand Five Hundred Dollars (\$11,500.00)
9 or on the member's current minimum average salary plus Two Thousand
10 Dollars (\$2,000.00), whichever is greater. Beginning July 1, 1994,
11 a classified member who retired prior to July 1, 1993, shall have
12 the member's retirement allowance calculated on the member's current
13 minimum average salary plus Five Hundred Fifty Dollars (\$550.00).

14 An unclassified member who retired prior to July 1, 1986, shall have
15 the member's retirement allowance calculated on a minimum average
16 salary of Nine Thousand Five Hundred Dollars (\$9,500.00) or on the
17 member's current minimum average salary plus One Thousand Dollars
18 (\$1,000.00), whichever is greater. Beginning July 1, 1994, an
19 unclassified member who retired prior to July 1, 1993, shall have
20 the member's retirement allowance calculated on the member's current
21 minimum average salary plus Two Hundred Seventy-five Dollars
22 (\$275.00). Those individuals receiving benefits pursuant to
23 subsection (3) of Section 17-105 of this title whose benefits
24 commenced prior to July 1, 1993, shall receive an increase in

1 benefits of two and one-half percent (2 1/2%). No retirement
2 benefit payments shall be made retroactively.

3 For those members retiring before normal retirement age, except
4 for those members retiring because of a disability, the retirement
5 allowance shall be subject to adjustment in accordance with the
6 actuarial equivalent factors adopted by the Board of Trustees.

7 2. Beginning July 1, 1995, a member, who has no service
8 performed on or after July 1, 1995, for an entity or institution
9 within The Oklahoma State System of Higher Education, who retires on
10 or after the member's normal retirement age or whose retirement is
11 because of disability shall receive an annual allowance for life,
12 payable monthly as follows:

- 13 a. if the member becomes a member after June 30, 1995,
14 and was not eligible to become a member prior to July
15 1, 1995, in an amount equal to two percent (2%) of the
16 member's average salary upon which member
17 contributions were made, multiplied by the number of
18 the member's years of creditable service, or
19 b. if the member became a member or is eligible to become
20 a member prior to July 1, 1995, and elected to have a
21 maximum compensation level in excess of Twenty-five
22 Thousand Dollars (\$25,000.00) pursuant to paragraph 1
23 of subsection C of this section or pursuant to
24 subsection E of this section, or if the member's

1 salary has never exceeded Twenty-five Thousand Dollars
2 (\$25,000.00) prior to July 1, 1995, in an amount equal
3 to:

4 (1) two percent (2%) of the member's average salary
5 upon which member contributions were made not to
6 exceed Forty Thousand Dollars (\$40,000.00),
7 multiplied by the number of the member's years of
8 credited service authorized and performed prior
9 to July 1, 1995, plus any years of prior service
10 authorized under this title, plus

11 (2) two percent (2%) of the member's average salary
12 upon which member contributions were made,
13 multiplied by the number of the member's years of
14 credited service authorized and performed after
15 June 30, 1995, or

16 c. if the member became a member or is eligible to become
17 a member prior to July 1, 1995, and was eligible to
18 elect to have a maximum compensation level in excess
19 of Twenty-five Thousand Dollars (\$25,000.00) and did
20 not elect or elected not to have a maximum
21 compensation level of Forty Thousand Dollars
22 (\$40,000.00) pursuant to paragraph 1 of subsection C
23 of this section or pursuant to subsection E of this
24 section, in an amount equal to:

- 1 (1) two percent (2%) of the member's average salary
2 upon which member contributions were made not to
3 exceed Twenty-five Thousand Dollars (\$25,000.00),
4 multiplied by the number of the member's years of
5 credited service authorized and performed prior
6 to July 1, 1995, plus any years of prior service
7 authorized under this title, plus
8 (2) two percent (2%) of the member's average salary
9 upon which member contributions were made,
10 multiplied by the number of the member's years of
11 credited service authorized and performed after
12 June 30, 1995.

13 B. Except as otherwise provided for in this section, the amount
14 contributed by each member to the retirement system shall be:

15 1. Beginning July 1, 1992, through June 30, 1996, six percent
16 (6%) of the regular annual compensation of such member not in excess
17 of Twenty-five Thousand Dollars (\$25,000.00) and beginning July 1,
18 1995, through June 30, 1996, six percent (6%) of the maximum
19 compensation level;

20 2. Beginning July 1, 1996, through June 30, 1997, six and one-
21 half percent (6 1/2%) of the regular annual compensation of members,
22 who are not employed by an entity or institution within The Oklahoma
23 State System of Higher Education not in excess of Twenty-five
24 Thousand Dollars (\$25,000.00) and beginning July 1, 1996, through

1 June 30, 1997, six and one-half percent (6 1/2%) of the regular
2 annual compensation of members, who are employed by an entity or
3 institution within The Oklahoma State System of Higher Education,
4 not in excess of Twenty-five Thousand Dollars (\$25,000.00);

5 3. Beginning July 1, 1997, seven percent (7%) of the regular
6 annual compensation of the member not in excess of any applicable
7 maximum compensation level of the member; and

8 4. All public schools in this state shall treat the employee
9 contributions as being picked up under the provisions of Section 414
10 (h) (2) of the Internal Revenue Code of 1986 in determining tax
11 treatment.

12 Subject to Internal Revenue Service approval, paragraph 4 of this
13 subsection shall not apply to a comprehensive university group
14 established on or before July 1, 1998, whose employee contributions
15 were consistently treated as not picked up as of July 1, 1998, and
16 at all times thereafter.

17 C. 1. Prior to July 1, 1995, an active member of the System
18 may elect to have a maximum compensation level of Forty Thousand
19 Dollars (\$40,000.00). Such an election shall be made in writing and
20 filed with the System. Members whose salaries are in excess of
21 Twenty-five Thousand Dollars (\$25,000.00) on July 20, 1987, shall
22 file the election with the System prior to January 1, 1988. Members
23 whose salaries exceed Twenty-five Thousand Dollars (\$25,000.00)
24 after July 20, 1987, shall file the election when the salary exceeds

1 Twenty-five Thousand Dollars (\$25,000.00). If a member makes such
2 an election, the member shall contribute the following amounts:

3 a. beginning July 1, 1992, through June 30, 1993, eleven
4 percent (11%) of the regular annual compensation of
5 such member that is in excess of Twenty-five Thousand
6 Dollars (\$25,000.00) and is not in excess of Forty
7 Thousand Dollars (\$40,000.00),

8 b. beginning July 1, 1993, through June 30, 1994, nine
9 percent (9%) of the regular annual compensation of
10 such member that is in excess of Twenty-five Thousand
11 Dollars (\$25,000.00) and is not in excess of Forty
12 Thousand Dollars (\$40,000.00), and

13 c. beginning July 1, 1994, through June 30, 1995, eight
14 percent (8%) of the regular annual compensation of
15 such member that is in excess of Twenty-five Thousand
16 Dollars (\$25,000.00) and is not in excess of Forty
17 Thousand Dollars (\$40,000.00). Except as provided in
18 subsection E of this section, any such election shall
19 be irrevocable.

20 2. After June 30, 1995, in addition to the amount contributed
21 by each member to the retirement system pursuant to subsection B of
22 this section, the total amount contributed by each member to the
23 retirement system shall include, beginning July 1, 1995, through
24 June 30, 1997, seven percent (7%) of the regular annual compensation

1 of each member, who is not employed by an entity or institution
2 within The Oklahoma State System of Higher Education, that is in
3 excess of Twenty-five Thousand Dollars (\$25,000.00) and beginning
4 July 1, 1996, through June 30, 1997, seven percent (7%) of the
5 regular annual compensation of each member who is employed by an
6 entity or institution within The Oklahoma State System of Higher
7 Education in excess of Twenty-five Thousand Dollars (\$25,000.00),
8 but not in excess of any applicable maximum compensation level of
9 the member.

10 D. 1. Any member who was a contributing member of the
11 Retirement System between July 1, 1987, and June 30, 1995, who at
12 the time the member was eligible to make an election to increase the
13 maximum compensation level of the member, failed to make an election
14 or chose not to increase the maximum compensation level of the
15 member to Forty Thousand Dollars (\$40,000.00), may elect to make
16 back contributions to the Retirement System. The member shall
17 complete a new election form and file with the Board of Trustees,
18 the form and a payment equaling the difference between the amount
19 contributed at the twenty-five-thousand-dollar level and the
20 appropriate contribution on compensation in excess of Twenty-five
21 Thousand Dollars (\$25,000.00) up to a maximum of Forty Thousand
22 Dollars (\$40,000.00) shall be made prior to the official retirement
23 date of the member. The required payment shall include any
24 contribution required by the employing school district, and shall

1 include interest compounded annually at ten percent (10%) per annum
2 of both employer and employee contributions.

3 2. Any changes made pursuant to this subsection shall be
4 irrevocable.

5 E. 1. An individual who withdrew from the Teachers' Retirement
6 System and whose salary was in excess of Seven Thousand Eight
7 Hundred Dollars (\$7,800.00) and had elected to contribute only on
8 Seven Thousand Eight Hundred Dollars (\$7,800.00) before his or her
9 withdrawal shall contribute on the earning ceiling as provided for
10 in this section on his or her reentry into membership in the
11 Teachers' Retirement System.

12 2. An individual who elected to contribute on a maximum of
13 Seven Thousand Eight Hundred Dollars (\$7,800.00) per annum shall,
14 beginning July 1, 1979, contribute on his or her earning ceiling as
15 provided for in this section.

16 3. Any member who elected to contribute on Seven Thousand Eight
17 Hundred Dollars (\$7,800.00) prior to January 1, 1978, and whose
18 salary was more than Seven Thousand Eight Hundred Dollars
19 (\$7,800.00) during the school years 1974-75 through 1978-79 may
20 elect to make back contributions to the retirement system by paying
21 the five percent (5%) contributions on the difference between Seven
22 Thousand Eight Hundred Dollars (\$7,800.00) and the actual salary of
23 the member, not to exceed Ten Thousand Dollars (\$10,000.00) for each
24 applicable school year, plus interest compounded annually at ten

1 percent (10%) per annum. Such payment shall be made prior to the
2 official retirement date of the member.

3 F. Each employer shall cause to be deducted from the salary of
4 each member on each and every payroll of such employer for each and
5 every payroll period, the proper percentage of his or her earnable
6 compensation as provided for in subsection B or subsection C of this
7 section.

8 1. Deductions shall begin with the first payroll period of the
9 school year. In determining the amount earnable by a member in a
10 payroll period, the Board of Trustees shall consider the rate of
11 annual compensation payable to such member on the first day of the
12 payroll period as continuing throughout such payroll period, and it
13 may omit deductions from compensation for any period less than a
14 full period, and to facilitate the making of deductions, it may
15 modify the deduction required of any member by such an amount as
16 shall not exceed one-tenth of one percent (1/10 of 1%) of the annual
17 compensation upon the basis of which such deduction is to be made.
18 Prior to January 1, 1991, any active contributing member who joined
19 the System subsequent to July 1, 1943, may pay the normal cost,
20 which shall mean the single sum which would have been paid under
21 existing statutes at the time the service was performed, plus
22 interest, for years of teaching service in Oklahoma from the date of
23 establishment of the System in 1943 to date of membership, in a lump
24 sum, or in installments equal to establishing one (1) year of

1 creditable service. Effective January 1, 1991, any active
2 contributing member who joined the System subsequent to July 1,
3 1943, may pay the amount determined by the Board of Trustees
4 pursuant to Section 17-116.8 of this title for years of teaching
5 service in Oklahoma from the date of establishment of the System in
6 1943 to date of membership, in a lump sum, or in installments equal
7 to establishing one (1) year of creditable service. For purposes of
8 this option, teaching service in Oklahoma shall include the teaching
9 of vocational agricultural courses within Oklahoma for the federal
10 government. Years for which contributions are paid shall count as
11 membership service under this plan. A member may receive credit for
12 not more than five (5) years of teaching service rendered while in
13 the Peace Corps or in the public schools of a territory of the
14 United States or the public schools, American Military Dependent
15 Schools or state colleges or state universities outside this state
16 by paying his or her contributions, plus interest, and membership
17 fees to the retirement system, subject to the regulations of the
18 Board of Trustees, providing he or she is not receiving and is not
19 eligible to receive retirement credit or benefits from said service
20 in any other public retirement system of this state, or any other
21 state or territory of the United States subject to the following
22 provisions:

- 23 a. the member is required to have two (2) years of
24 employed service teaching earned in Oklahoma for each

1 year of Peace Corps, territorial, out-of-state,
2 noncovered in-state or military membership credit
3 granted.

4 b. prior to January 1, 1991, the out-of-state or
5 noncovered in-state payment shall be the normal cost,
6 which means the single sum which would have been paid
7 under existing law at the time the service was
8 performed, plus interest, on the basis of what his or
9 her annual salary would have been in Oklahoma or out
10 of state, whichever is greater, had he or she been
11 employed as a teacher. Effective January 1, 1991, the
12 Peace Corps, territorial, out-of-state or noncovered
13 in-state payment shall be the amount determined by the
14 Board of Trustees pursuant to Section 17-116.8 of this
15 title.

16 2. In addition to the deductions hereinabove provided for, any
17 member who becomes a member of the Armed Forces of the United States
18 of America during any period of national emergency, including World
19 War II, the Korean conflict, the Vietnam conflict or others as may
20 be determined by the Board of Trustees, or whose entrance into or
21 training for the teaching profession was interrupted by his or her
22 entrance into the Armed Forces, and who was or shall have become a
23 member of the Teachers' Retirement System shall be granted the
24 privilege of making up his or her five percent (5%) contributions as

provided for in this section until January 1, 1991, for not to exceed five (5) years of service in the Armed Forces by electing to pay said contributions on the basis of the rate of pay in his or her contract as a teacher at the time his or her service in the Armed Forces commenced or in the case of a teacher who was not teaching prior to entering the Armed Forces, on the basis of the salary of the first year of teaching after being honorably discharged from the Armed Forces. Effective January 1, 1991, the member will receive such service upon payment of the amount determined by the Board of Trustees pursuant to Section 17-116.8 of this title. Such contributions shall be credited in the regular manner, and the period for which said contributions were paid shall be counted as creditable years of service and allocated to the period during which the military service was rendered, except that the period for which contributions were paid must have been continuous and shall be credited in the aggregate, regardless of fiscal year limitations. Notwithstanding any provision herein to the contrary, contributions, benefits and service credit with respect to qualified military service as defined by Section 414(u) of the Internal Revenue Code of 1986 shall be provided in accordance with Section 414(u) of the Internal Revenue Code.

3. Retirement benefits for all service credits purchased pursuant to this subsection shall be determined in accordance with the provisions of paragraph 2 of this subsection.

1 G. Effective July 1, 2004, the total creditable service of a
2 member who retires or terminates employment and elects a vested
3 benefit shall include not to exceed one hundred twenty (120) days of
4 unused sick leave accumulated subsequent to August 1, 1959. Twenty
5 (20) days of unused sick leave shall equal one (1) month for
6 purposes of creditable service credit. If the member becomes a
7 member or was eligible to become a member prior to July 1, 1995, the
8 year of credit received in this section shall be treated as service
9 earned prior to July 1, 1995. This subsection shall apply to
10 members retiring or vesting on or after ~~the effective date of this~~
11 ~~act~~ July 1, 2004, and shall not be retroactive.

12 H. Any member who:

13 1. ~~Shall~~ Prior to November 1, 2015, shall be absent from the
14 teaching service because of election to the State Legislature or
15 appointment to the executive branch in an education-related capacity
16 shall be allowed thirty (30) days from the date as of which the
17 person is officially elected or appointed to file an election with
18 the Teachers' Retirement System to retain his or her membership in
19 the Teachers' Retirement System upon payment of the contribution
20 required of other members and employers of said members as provided
21 for in this section and his or her service credits shall continue to
22 be accumulated during such absence, provided he or she is not
23 receiving retirement credits or benefits from said service beginning
24 after July 1, 1992, in other public retirement systems; or

2. Became an employee of the Oklahoma Commission for Teacher Preparation on or subsequent to June 1, 2001, but prior to July 1, 2002, who was previously employed by a participating employer within the Teachers' Retirement System of Oklahoma, may elect to cancel any accumulated service credit accrued within the Oklahoma Public Employees Retirement System on or after June 1, 2001, but prior to July 1, 2002, by filing an election with the Oklahoma Public Employees Retirement System for the cancellation of such service credit. The election shall be irrevocable and shall require the Oklahoma Public Employees Retirement System to transfer all accumulated employer and employee contributions made on behalf of or by the person making such election to the Teachers' Retirement System for such period of time. The Teachers' Retirement System shall compute the employee contributions that would have been made to the System by such employee if the contributions had been computed pursuant to this section. In order to receive the full amount of creditable service for the period of time on or after June 1, 2001, but not later than June 30, 2002, the employee shall be required to pay any difference between the transferred employee contributions and the amount computed by the Teachers' Retirement System. The employee may make payment of any required amount in the manner provided by and subject to the requirements of Section 17-116.8 of this title. After payment of all required employee contributions, the Teachers' Retirement System shall credit the

1 period of time represented by the transferred employee contributions
2 as creditable service within the meaning of Section 17-101 of this
3 title. After the transfer of the employee contributions, the
4 Oklahoma Public Employees Retirement System shall cancel any service
5 credit previously accumulated for the period of time represented by
6 such transferred employee contributions. Any person who makes the
7 election provided for by this paragraph, and who continues
8 employment with the Oklahoma Commission for Teacher Preparation on
9 or after July 1, 2002, shall continue to accrue service credit in
10 the Teachers' Retirement System of Oklahoma. The employer shall
11 make employer contributions according to the requirements of Section
12 17-108.1 of this title and shall provide for the deduction of
13 employee contributions as required by this section.

14 I. Any member who shall be absent from the teaching service
15 because of election or appointment as a local, state or national
16 education association officer, prior to January 1, 2011, shall be
17 allowed to retain his or her membership in the Teachers' Retirement
18 System upon payment of the contribution required of other members
19 and employers of said members as provided for in this section and
20 his or her service credits shall continue to be accumulated during
21 such absence. Provided, however, any one such absence shall not
22 exceed twelve (12) continuous years. No member who has less than
23 ten (10) years of contributory service on July 1, 1994, may make
24 this election after June 30, 1994. Members contributing to the

1 System on July 1, 1994, may continue to contribute under this
2 subsection until they have completed eight (8) years allowed by this
3 subsection. The member may file for retirement when otherwise
4 eligible for retirement as provided by Section 17-105 of this title.

5 J. A member may receive credit for those years of service
6 accumulated by the member while employed by an entity which is a
7 participating employer in the Oklahoma Firefighters Pension and
8 Retirement System, the Oklahoma Police Pension and Retirement
9 System, the Uniform Retirement System for Justices and Judges, the
10 Oklahoma Law Enforcement Retirement System, or the Oklahoma Public
11 Employees Retirement System, if the member is not receiving or
12 eligible to receive retirement credit or benefits from said service
13 in any other public retirement system. A member also may receive
14 credit for those years of service with the Department of Wildlife
15 Conservation or with an employer that is a participating employer
16 within one of the state retirement systems specifically referred to
17 in this section when at the time of such service by the member the
18 employer was not such a participating employer, if the member is not
19 receiving or eligible to receive retirement credit or benefits from
20 said service in any other public retirement system. To receive the
21 service credit provided in this subsection, the member shall pay the
22 amount determined by the Board of Trustees pursuant to Section 17-
23 116.8 of this title. For purposes of this subsection, creditable
24 service transferred from the Oklahoma Public Employees Retirement

1 System shall include service authorized under paragraph (f) of
2 subsection (2) of Section 913 of Title 74 of the Oklahoma Statutes
3 as amended from time to time. Members who retire prior to July 1,
4 1993, shall have their monthly benefit adjusted to include all
5 services accrued under paragraph (f) of subsection (2) of Section
6 913 of Title 74 of the Oklahoma Statutes. Provided however, any
7 adjustment of existing retirement benefits caused by reason of
8 inclusion of such service authorized under paragraph (f) of
9 subsection (2) of Section 913 of Title 74 of the Oklahoma Statutes
10 shall not affect any retirement benefit paid prior to July 1, 1993.

11 K. 1. An active member of the Teachers' Retirement System of
12 Oklahoma may receive credit for those years of service accumulated
13 by the member while a member of the Oklahoma Public Employees
14 Retirement System if:

- 15 a. the member is an active member of the Teachers'
16 Retirement System of Oklahoma, and
- 17 b. the member provides notice to the Oklahoma Public
18 Employees Retirement System and the Teachers'
19 Retirement System of Oklahoma of the member's election
20 to transfer said service credit. The notice shall
21 include a list of the years to be transferred, and
- 22 c. the member is not receiving or eligible to receive
23 retirement credit or benefits from said service in any
24 other public retirement system, notwithstanding the

1 years of service sought to be transferred under this
2 subsection.

3 Members electing to take advantage of the transfer authorized by
4 this subsection who are receiving or eligible to receive retirement
5 credit or benefits from said service in any other public retirement
6 system shall have all service credit with the Oklahoma Public
7 Employees Retirement System canceled which is not transferred to the
8 Teachers' Retirement System of Oklahoma or used as a cash offset in
9 such a transfer pursuant to subparagraph d of paragraph 2 of this
10 subsection. Service credit transferred to the Teachers' Retirement
11 System of Oklahoma under this subsection shall also be canceled with
12 the Oklahoma Public Employees Retirement System.

13 2. For purposes of this subsection, the "sending system" shall
14 mean the Oklahoma Public Employees Retirement System. The
15 "receiving system" shall mean the Teachers' Retirement System of
16 Oklahoma.

17 a. Within thirty (30) days notification of an intent to
18 transfer is received by the sending system, the
19 sending system shall, according to its own rules and
20 regulations:

21 (1) for members who have accrued at least eight (8)
22 years of credited service with the sending
23 system, determine the present value of the
24 member's earned benefits attributable to the

1 years of service sought to be transferred,
2 discounted according to the member's age at the
3 time of transfer and computed as of the earliest
4 age at which the member would be able to retire.
5 Said computation shall assume an unreduced
6 benefit and be computed using interest and
7 mortality assumptions consistent with the
8 actuarial assumptions adopted by the Board of
9 Trustees for purposes of preparing the annual
10 actuarial evaluation, but shall not make any
11 projections regarding future salary. For
12 employees who have accrued at least eight (8)
13 years of credited service, the sending system
14 shall use the product of this calculation for
15 purposes of determining the transfer fee to be
16 paid by the employee under subparagraph c of this
17 paragraph so long as it is greater than the
18 product of the calculation in division (2) of
19 this subparagraph, and

- 20 (2) determine the sum of the employee and employer
21 contributions applicable to the years of service
22 sought to be transferred plus interest consistent
23 with the actuarial assumptions adopted by the
24 Board of Trustees for purposes of preparing the

1 annual actuarial evaluation. For all nonvested
2 members, and for members who have accrued at
3 least eight (8) years of credited service, if the
4 product of this calculation is greater than the
5 product of the calculation in division (1) of
6 this subparagraph, the sending system shall use
7 the product of this calculation for purposes of
8 determining the amount to be transferred by the
9 sending system under subparagraph c of this
10 paragraph and any transfer fee to be paid by the
11 member under subparagraph d of this paragraph.

- 12 b. Within thirty (30) days notification of an intent to
13 transfer is received by the receiving system, the
14 receiving system shall determine, according to the
15 system's own rules and regulations, the present value
16 of the member's incremental projected benefits
17 discounted according to the member's age at the time
18 of the transfer. Incremental projected benefits shall
19 be the difference between the projected benefit said
20 member would receive without transferring the service
21 credit and the projected benefit after transfer of
22 service credit computed as of the earliest age at
23 which the member would be able to retire. Said
24 computation shall assume an unreduced benefit and be

1 computed using interest, salary projections and
2 mortality assumptions consistent with the actuarial
3 assumptions adopted by the Board of Trustees for
4 purposes of preparing the annual actuarial evaluation.

5 c. The sending system shall, within sixty (60) days from
6 the date notification of an intent to transfer is
7 received by the sending system, transfer to the
8 receiving system the amount determined in subparagraph
9 a of this paragraph. Except if the cost as calculated
10 under subparagraph a of this paragraph is greater than
11 the actuarial value of the incremental benefit in the
12 receiving system, as established in subparagraph b of
13 this paragraph, the sending system shall send the
14 receiving system an amount equal to the actuarial
15 value of the incremental projected benefit in the
16 receiving system.

17 d. In order to receive the credit provided for in
18 paragraph 1 of this subsection, if the cost of the
19 actuarial value of the incremental benefit to the
20 receiving system is greater than the cost as
21 calculated under subparagraph a of this paragraph for
22 the same years of service to the sending system as
23 established in subparagraphs a and b of this
24 paragraph, the employee shall elect to:

- (1) pay any difference to receive full credit for the years sought to be transferred, or
- (2) receive prorated service credit for only the amount received from the Oklahoma Public Employees Retirement System pursuant to this subsection.

Such an election shall be made in writing, filed with the System prior to receiving the credit provided for in paragraph 1 of this subsection, and shall be irrevocable.

3. Within sixty (60) days of successfully completing all of the requirements for transfer under this subsection, the sending system shall pay the receiving system any amount due under this subsection. Within sixty (60) days of successfully completing all of the requirements for transfer under this subsection, the member shall pay the receiving system any amount due under this subsection. In the event that the member is unable to pay the transfer fee provided for in this subsection by the due date, the Board of Trustees of the receiving system shall permit the member to amortize the transfer fee over a period not to exceed sixty (60) months. Said payments shall be made by payroll deductions unless the Board of Trustees permits an alternate payment source. The amortization shall include interest in an amount not to exceed the actuarially assumed interest rate adopted by the Board of Trustees for investment earnings each

1 year. Any member who ceases to make payment, terminates, retires or
2 dies before completing the payments provided for in this section
3 shall receive prorated service credit for only those payments made,
4 unless the unpaid balance is paid by said member, his or her estate
5 or successor in interest within six (6) months after said member's
6 death, termination of employment or retirement, provided no
7 retirement benefits shall be payable until the unpaid balance is
8 paid, unless said member or beneficiary affirmatively waives the
9 additional six-month period in which to pay the unpaid balance.

10 4. Years of service transferred pursuant to this subsection
11 shall be used both in determining the member's retirement benefit
12 and in determining the years of service for retirement and/or
13 vesting purposes. Years of service rendered as a member of the
14 Oklahoma Public Employees Retirement System prior to July 1, 1992,
15 if any, shall be deemed to be years of service rendered as a member
16 of the Teachers' Retirement System of Oklahoma prior to July 1,
17 1992, and shall qualify such person as a member of the Teachers'
18 Retirement System of Oklahoma before July 1, 1992.

19 5. Notwithstanding the requirements of subsection (5) of
20 Section 917 of Title 74 of the Oklahoma Statutes, members electing
21 to take advantage of the transfer authorized by this subsection who
22 have withdrawn their contributions from the sending system shall
23 remit to the sending system the amount of the accumulated
24 contributions the member has withdrawn plus simple interest of ten

1 percent (10%) per annum prior to making said election or the
2 election shall be deemed invalid and the transfer shall be canceled.
3 If such an election is deemed invalid and the transfer is canceled,
4 the accumulated contribution remitted to the sending system by the
5 member who originally withdrew their contributions shall be returned
6 to the member. The member's rights and obligations regarding any
7 service credit reestablished in the sending system due to a failure
8 to satisfy the requirements of this subsection shall be determined
9 by the sending system in accordance with Section 901 et seq. of
10 Title 74 of the Oklahoma Statutes.

11 6. If any member fails for any reason to satisfy the
12 requirements of this subsection, the election to transfer service
13 credit shall be void and of no effect, and any service credited as a
14 result of this transfer shall be canceled. If such service is
15 canceled, the years of canceled service credit which were
16 unsuccessfully transferred to the receiving system from the sending
17 system shall be reestablished in the sending system. The member's
18 rights and obligations regarding any service credit reestablished in
19 the sending system due to a failure to satisfy the requirements of
20 this subsection shall be determined by the sending system in
21 accordance with Section 901 et seq. of Title 74 of the Oklahoma
22 Statutes.

23 7. The Board of Trustees shall promulgate such rules as are
24 necessary to implement the provisions of this subsection.

1 L. Any member whose regular annual compensation was not
2 determined as provided for by law may pay the member contribution
3 required pursuant to subsection B of this section on such amount not
4 included in the member's regular annual compensation and receive
5 credit for such amount in the calculation of the member's benefit.
6 The employees must pay the employer contributions required pursuant
7 to Section 17-108.1 of this title. Interest at the rate of ten
8 percent (10%) per annum shall be charged to both employee and
9 employer contributions. Provided that the employing district may
10 pay all or any portion of the contributions and interest the member
11 is required to pay. Any payment by the employing district for a
12 prior year obligation shall be considered a current obligation of
13 the employer.

14 M. Any active member who elected during the 1978-79 school year
15 to pay the difference between five percent (5%) on actual salary not
16 exceeding Ten Thousand Dollars (\$10,000.00) and six percent (6%) on
17 actual salary not exceeding Fifteen Thousand Dollars (\$15,000.00)
18 shall receive credit for one (1) year of credited service upon
19 receipt and approval of a proper request by the Board of Trustees.

20 ~~N. Effective July 1, 1988, any member who is employed by the~~
21 ~~Governor, the State Senate, the House of Representatives or the~~
22 ~~Legislative Service Bureau shall be allowed to elect to retain~~
23 ~~membership in the Retirement System upon payment of the accrued and~~
24 ~~current member contributions and employer contributions as provided~~

~~in subsection B of this section and Section 17-108.1 of this title.~~
~~Such contributions may be paid on behalf of the member by the~~
~~employing entity. Upon payment of such contributions, service~~
~~credits shall continue to be accumulated during such employment.~~
~~Accrued contributions shall be paid to the Retirement System by~~
~~August 1, 1989. Current contributions shall be paid to the~~
~~Retirement System by the tenth of the following month beginning with~~
~~the month of July 1989.~~

~~O.~~ Notwithstanding any requirements of this title to restrict
the payment of service purchases, the Board of Trustees shall
promulgate such rules as necessary to allow active members of the
System to make installment payments for the redeposit of withdrawn
accounts or other payments due under the provisions of this title.
The rules shall permit the member to amortize the balance due over a
period not to exceed sixty (60) months, and shall include interest
consistent with the actuarial assumptions adopted by the Board of
Trustees for purposes of preparing the annual actuarial evaluation.
Further, the rules shall provide that all payments must be completed
prior to the effective retirement date of the member.

~~P.~~ O. 1. A member of the Oklahoma Public Employees Retirement
System who becomes a member of the Teachers' Retirement System of
Oklahoma because the member has become employed by an entity or
institution within The Oklahoma State System of Higher Education,
State Board of Education, State Board of Career and Technology

1 Education, Oklahoma Department of Career and Technology Education,
2 Oklahoma School of Science and Mathematics, Oklahoma Center for the
3 Advancement of Science and Technology, State Department of
4 Rehabilitation Services, Oklahoma State Regents for Higher
5 Education, Department of Corrections, State Department of Education,
6 Oklahoma Board of Private Vocational Schools, Board of Regents of
7 Oklahoma Colleges, Oklahoma Student Loan Authority, or the Teachers'
8 Retirement System of Oklahoma, may elect to receive credit in the
9 Teachers' Retirement System of Oklahoma for those years of service
10 accumulated by the member in the Oklahoma Public Employees
11 Retirement System pursuant to this subsection. A member shall be
12 eligible to elect to receive credit for such years of service if:

- 13 a. the member is an active member of the Teachers'
14 Retirement System of Oklahoma,
- 15 b. the member provides notice to the Teachers' Retirement
16 System of Oklahoma and the Oklahoma Public Employees
17 Retirement System of the member's election to transfer
18 such retirement credit. The notice shall include a
19 list of the years to be transferred, and
- 20 c. the member is not receiving or eligible to receive
21 retirement credit or benefits from such service in any
22 other public retirement system, notwithstanding the
23 years of service sought to be transferred under this
24 subsection.

1 Members electing to take advantage of the transfer authorized by
2 this subsection shall have all service credit with the Oklahoma
3 Public Employees Retirement System canceled which is transferred to
4 the Teachers' Retirement System of Oklahoma.

5 2. For purposes of this subsection, the "sending system" shall
6 mean the Oklahoma Public Employees Retirement System. The
7 "receiving system" shall mean the Teachers' Retirement System of
8 Oklahoma. Within thirty (30) days after notification of an intent
9 to transfer is received by the sending system, the sending system
10 shall, according to its own rules, send to the receiving system all
11 employer and employee contributions made on behalf of the member
12 which were made to the sending system plus an additional amount of
13 earnings based on the actuarial assumed rate of the sending system.
14 Upon receipt of these contributions by the receiving system, the
15 receiving system shall give credit to the transferring member in an
16 amount equal to the years of service accrued in the sending system.

17 3. If the transferring member's normal retirement date
18 calculation is based upon the sum of the member's age and number of
19 years of credited service totaling eighty (80) in the sending
20 system, then the member shall retain such calculation in the
21 receiving system.

22 4. The Board of Trustees shall promulgate such rules as are
23 necessary to implement the provisions of this subsection.

1 ~~Q.~~ P. A former member of the Teachers' Retirement System of
2 Oklahoma who withdrew his or her contributions from the System prior
3 to January 1, 1983, and who had at least ten (10) years of service
4 in the System and purchased that service in the Oklahoma Public
5 Employees Retirement System, may elect to revoke that purchase from
6 the Oklahoma Public Employees Retirement System and to repay the
7 withdrawn contributions to the System in order to be eligible, once
8 such member reaches the normal retirement age, to receive a
9 retirement benefit that is based upon years of service and
10 compensation at the time such member terminated employment. In
11 addition, such former member may elect to transfer service credit
12 accrued in the Oklahoma Public Employees Retirement System to the
13 Teachers' Retirement System of Oklahoma pursuant to subsection K of
14 this section. The election, pursuant to this subsection, shall be
15 made prior to September 1, 2000. The election and the repayment
16 shall be made according to rules promulgated by the Board.

17 SECTION 5. This act shall become effective November 1, 2026.
18

19 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
20 03/05/2026 - DO PASS, As Coauthored.
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